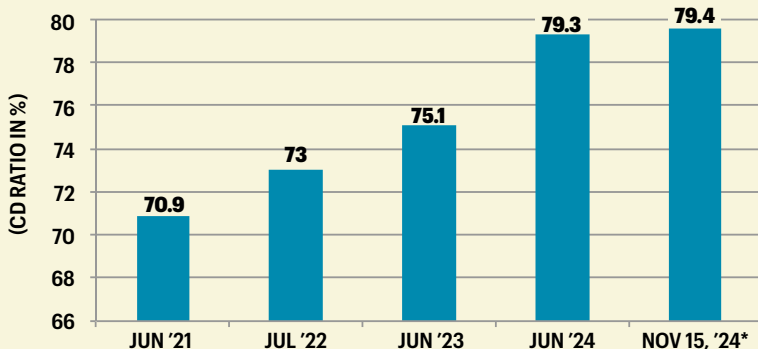


THE CREDIT-DEPOSIT CHALLENGE

➤ The CD ratio has been hovering around 80% since September 2023 ➤ When comparing growth rates with December 2023, deposit growth has continued to outpace credit offtake



DATA FOR QUARTER-ENDED; *FOR FORTNIGHT-ENDED
SOURCE: CAREEDGE, RBI



“Deposit growth has been nominal and to balance that... banks have had to cut down credit growth... to 50% of deposits”

SANJAY AGARWAL

SENIOR DIRECTOR, CAREEDGE RATINGS



“HDFC Bank and ICICI Bank are navigating challenges... but their focus on asset quality and operational efficiency positions them well”

MANISH CHOWDHURY

HEAD OF RESEARCH, STOXBOS

loans, consumer loans and lending by NBFCs. The Reserve Bank of India has also increased its vigilance over such loans by banks and introduced risk weights on unsecured credit to curtail such lending. This has had some impact. RBI data on sectoral deployment of credit says growth moderated to 13% YoY in September 2024 from 16% in March 2024. Analysts say this was driven primarily by a decline in unsecured credit growth from 20% in March to 13% in September.

“Bank credit to NBFCs declined from 15% YoY in March 2024 to 9% YoY in September 2024. This was in line with the regulator’s goal, in our view,” said a recent note by Macquarie, an investment banking and financial services group. As unsecured credit growth declines, the impact on net interest margins for banks remains a key monitorable. “Further, given the current stress in this segment, we expect credit costs to remain elevated in the near term,” says the report.

BRIGHT OUTLOOK

Despite the challenges, the future looks bright for banks. A revival in the private sector’s investment sentiment is expected to spur lending. And despite the curbs on retail loans, it is expected that consumer loan demand will remain strong and help improve lenders’ profitability because of higher yields.

Easier liquidity conditions could augur well for deposit mobilisation. “As credit growth stabilises and liquidity in the banking system improves, banks should face fewer challenges in attracting deposits,” says Mishra of Ashika.

While challenges remain and the waters may be choppy, calmer seas and a brighter outlook is expected in FY25 for large banks as well as the banking sector. **BT**

surabhi_prasad